

Personal & Corporate Finance Guide 2024

A Comprehensive Reference for Individual and Business Finance

1. Introduction to Finance

Finance is the discipline concerned with the management of money, investments, and other financial instruments. It encompasses the study of how individuals, businesses, and governments allocate resources over time.

Definition and Scope of Finance:

Finance studies the allocation of assets and liabilities over space and time, often under conditions of risk and uncertainty.

Importance of Financial Literacy:

Financial literacy equips individuals to make informed decisions about saving, investing, borrowing, and planning for the future. A financially literate population drives economic stability and personal well-being.

Types of Finance:

- **Personal Finance:** Managing individual or household financial decisions — budgeting, saving, investing, and insurance.
- **Corporate Finance:** Financial activities of businesses — capital structure, funding, and maximising shareholder value.
- **Public Finance:** Government revenue, expenditure, and debt management at local, state, and national levels.

2. Personal Finance Fundamentals

Budgeting: The 50/30/20 Rule

- **50%** of after-tax income for **Needs** (rent, utilities, groceries, transport)
- **30%** for **Wants** (dining, entertainment, travel, hobbies)
- **20%** for **Savings and Debt Repayment** (emergency fund, investments, loan EMIs)

Emergency Fund

Financial planners recommend maintaining an emergency fund equivalent to **3 to 6 months** of total living expenses. Keep this in a liquid account such as a savings account or liquid mutual fund.

Net Worth Formula

Net Worth = Assets – Liabilities

Example: Assets = Rs.45L (Property Rs.30L + Investments Rs.15L), Liabilities = Rs.18L (Home Loan Rs.15L + Car Loan Rs.3L). Net Worth = Rs.45L – Rs.18L = **Rs.27 lakh**.

3. Investment Basics

Equity (Stocks)

High risk, high return. Average market return approximately 12% annually (Sensex). Suitable for long-term goals (5+ years).

Debt (Bonds / Fixed Deposits)

Low risk, fixed return. FD rates typically 6.5 to 7.5% per annum. Ideal for capital preservation and short-to-medium term goals.

Mutual Funds

Professionally managed, diversified portfolio. Systematic Investment Plan (SIP) minimum: Rs.500 per month.

Real Estate

Illiquid asset. Rental yield typically 2 to 4% in India. Suitable for long-term wealth building; consider liquidity constraints.

Gold

Hedge against inflation and currency risk. 10-year CAGR approximately 9.8%. Can be held via Sovereign Gold Bonds (SGB) for additional interest.

PPF (Public Provident Fund)

Government-backed, 7.1% per annum tax-free return. Lock-in period of 15 years. Eligible for Section 80C deduction.

NPS (National Pension System)

Retirement corpus builder. Tax benefit up to Rs.2L under Section 80C + 80CCD(1B). Regulated by PFRDA; partially annuitised at retirement.

4. Corporate Finance

Capital Structure

The mix of debt and equity financing. Healthy Debt-to-Equity ratio range: 1:1 to 2:1. Excessive debt increases financial risk.

Working Capital

Working Capital = Current Assets – Current Liabilities. Positive working capital indicates short-term financial health.

EBITDA

Earnings Before Interest, Tax, Depreciation, and Amortisation. A proxy for operating cash flow used widely in business valuation.

ROI (Return on Investment)

$ROI = (\text{Net Profit} / \text{Cost of Investment}) \times 100$. Measures the efficiency and profitability of an investment.

P/E Ratio (Price-to-Earnings)

$P/E = \text{Price per Share} / \text{Earnings per Share}$. Indian market average: 20 to 25x. Higher P/E may indicate overvaluation.

Liquidity Ratios

Current Ratio (Current Assets / Current Liabilities) >2 is considered healthy. Quick Ratio >1 is preferred, indicating ability to meet short-term obligations without inventory.

5. Taxation in India (FY 2024-25)

New Tax Regime — Income Tax Slabs:

Income Slab	Tax Rate
Up to Rs.3 lakh	Nil
Rs.3 lakh to Rs.7 lakh	5%
Rs.7 lakh to Rs.10 lakh	10%
Rs.10 lakh to Rs.12 lakh	15%
Rs.12 lakh to Rs.15 lakh	20%
Above Rs.15 lakh	30%

- **Section 80C** deduction limit: Rs.1.5 lakh (covers ELSS, PPF, life insurance premium, home loan principal, etc.)
- **HRA Exemption:** Minimum of (actual HRA received, 50% of salary for metro / 40% for non-metro cities, rent paid minus 10% of salary).
- **GST Rates:** 0%, 5%, 12%, 18%, and 28% depending on goods/services category.
- **LTCG on Equity:** 10% on gains above Rs.1 lakh for holdings longer than 1 year.
- **STCG on Equity:** 15% for equity held less than 1 year.

6. Risk Management & Insurance

Life Insurance (Term Plan)

Recommended coverage: 10 to 15 times annual income. Pure term plans offer high coverage at low premiums. Avoid mixing insurance with investment.

Health Insurance

Minimum Rs.5 lakh individual coverage. Family floater plan recommended for households. Covers hospitalisation, daycare procedures, and pre/post-hospitalisation expenses.

Premium Ratio

Total insurance premiums should not exceed 5% of annual income to maintain healthy financial balance.

Risk Types

Market risk (price fluctuation), Credit risk (counterparty default), Liquidity risk (inability to sell quickly), Operational risk (internal process failures).

7. Financial Ratios Quick Reference

Ratio	Formula
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Debt-to-Equity	Total Debt / Shareholders Equity
Return on Equity (ROE)	Net Income / Shareholders Equity x 100
Gross Profit Margin	(Revenue - COGS) / Revenue x 100
Current Ratio	Current Assets / Current Liabilities
Interest Coverage	EBIT / Interest Expense

8. Key Financial Terms Glossary

Inflation: India's CPI target 4% (+/-2%) set by the Reserve Bank of India (RBI).

Repo Rate: As of 2024 -- 6.5%. The benchmark rate at which RBI lends to commercial banks.

SIP: Systematic Investment Plan -- fixed monthly investment into a mutual fund scheme.

NAV: Net Asset Value -- market value of mutual fund assets per unit, calculated daily.

CAGR: Compound Annual Growth Rate -- measures the rate of return on investment over multiple years.

FII: Foreign Institutional Investor -- overseas entities investing in Indian financial markets.

NFO: New Fund Offer -- launch of a new mutual fund scheme, similar to an IPO for stocks.

9. Financial Planning Milestones

Age 20s

Build emergency fund (3-6 months expenses). Start SIP of Rs.2,000 or more per month. Buy a pure term life insurance policy. Avoid high-interest debt.

Age 30s

Increase SIP contributions as income grows. Consider buying a home if financially feasible. Maximise Section 80C benefits. Review and increase health insurance coverage.

Age 40s

Aggressively reduce outstanding debt. Boost retirement corpus with higher NPS / mutual fund contributions. Diversify investments across asset classes.

Age 50s

Gradually shift to lower-risk assets (debt funds, FDs, SGBs). Plan estate and succession. Maximise NPS contributions for tax benefits.

Retirement Target

Accumulate 25 times your annual expenses as retirement corpus (based on the 4% withdrawal rule). Example: Annual expenses Rs.6L -- target corpus Rs.1.5 crore.

10. Common Financial Mistakes to Avoid

- Not building an emergency fund before investing.
- Delaying or ignoring life and health insurance.
- Chasing past returns in mutual funds without assessing risk profile.

- Taking excessive home loan (EMI exceeding 40% of monthly income is high-risk).
- Not accounting for inflation when planning retirement corpus.
- Withdrawing from long-term investments (ELSS, PPF, NPS) prematurely.
- Neglecting to review and rebalance the investment portfolio annually.
- Using credit cards for lifestyle spending beyond repayment capacity.

This guide is for educational purposes only. Consult a SEBI-registered financial advisor before making investment or tax decisions.